

Funding and Approval Questions

Answers to frequently asked questions about credit facilities, funding, and approvals

Overview

This comprehensive guide answers common questions about credit facilities, funding requests, approvals, and the funding process. These FAQs help you understand the funding workflow and know what to expect at each stage. Use this guide when you have questions about credit facility processes, funding operations, and approval workflows.

Frequently Asked Questions

Term Sheet Questions

Q: How long does term sheet review take?

A: Review time varies depending on facility agent workload and term sheet complexity. Typically, reviews take a few days. You'll receive notifications when status changes. Check with the facility agent if you have concerns about timing. Review timing depends on various factors including complexity and reviewer availability.

Q: What happens if my term sheet is rejected?

A: If your term sheet is rejected, it enters a final state. No master commitment is created, and the facility does not proceed. You receive a rejection reason. You can create a new term sheet addressing the issues that led to rejection. Rejection is final and requires creating a new term sheet.

Q: Do I need to re-sign if changes are requested?

A: Usually yes. When changes are requested, you typically need to re-sign the term sheet after making changes. The system will indicate if re-signing is required. Complete electronic signature again after making requested modifications. Re-signing ensures that changes are properly authorized.

Q: Can I edit a term sheet after submitting it?

A: No, once submitted, you cannot edit term sheets while they're under review. If changes are requested, you can edit and resubmit. Otherwise, you must wait for the facility agent's decision. Editing restrictions maintain workflow integrity during review.

Q: What happens after my term sheet is approved?

A: When your term sheet is approved, a master commitment is automatically created. The facility agent configures the complete facility structure, then submits it for lender approval. Once lenders approve, the facility becomes active, and you can create funding requests. Approval triggers the facility setup process.

Q: Can I withdraw a term sheet after submitting it?

A: Withdrawal depends on term sheet status and workflow stage. Once under review, withdrawal may not be possible. Check term sheet status and workflow rules to see if withdrawal is available. Some statuses may allow withdrawal while others do not.

Master Commitment Questions

Q: Why was a master commitment created automatically?

A: Master commitments are automatically created when term sheets are approved. The system creates them with information from your approved term sheet, then the facility agent configures the complete facility structure. Auto-creation ensures consistency and efficiency.

Q: How long does lender approval take?

A: Lender approval time varies depending on lender workload and facility complexity. Any lender approval activates the facility - you don't need all lenders to approve. You'll be notified when the facility becomes active. Approval timing depends on lender processes.

Q: Can I see which lenders have approved?

A: Yes, you can typically see lender approval status. Each lender's approval status is tracked individually, showing who has approved and when. This information is visible on the master commitment details page. Lender approval tracking provides transparency.

Q: Can I create funding requests before the facility is active?

A: No, you can only create funding requests against active facilities. Facilities must be approved by at least one lender and in Active status before you can create funding requests. Active status is required for funding request creation.

Q: What happens if all lenders reject the master commitment?

A: If all lenders reject (which is rare), the facility does not become active. The facility agent may reconfigure the master commitment and resubmit, or the process may stop. Check with the facility agent about next steps. Lender rejection prevents facility activation.

Q: Can I see facility setup progress?

A: Yes, you can see facility setup status on the master commitment details page. Setup status shows whether configuration is complete or still in progress. This helps you know when the facility will be ready for lender approval.

Funding Request Questions

Q: How much can I request in a funding request?

A: You can request up to your available borrowing capacity. The system shows available capacity, and you cannot request more than what's available. Available capacity is calculated based on facility rules and current utilization. Capacity limits ensure compliance with facility terms.

Q: Can I create multiple funding requests?

A: Yes, you can create multiple funding requests as long as you don't exceed total facility limits. Each request goes through the review process individually. You can have only one draft request per facility at a time. Multiple requests enable flexible drawdown management.

Q: What happens if my funding request is rejected?

A: If your funding request is rejected, no funding notice is created, and the drawdown doesn't proceed. You receive a rejection reason. You can create a new funding request addressing the issues that led to rejection. Rejection is final and requires creating a new request.

Q: Can I edit a funding request after submitting it?

A: No, once submitted, you cannot edit funding requests while they're under review. If changes are requested, you can edit and resubmit. Otherwise, you must wait for the facility agent's decision. Editing restrictions maintain workflow integrity during review.

Q: How long does funding request review take?

A: Review time varies depending on facility agent workload and request complexity. Typically, reviews take a few days. You'll receive notifications when decisions are made. Review timing depends on various factors.

Q: Can I cancel a funding request?

A: Cancellation depends on funding request status. Draft requests can usually be cancelled, but submitted requests may not be cancellable. Check funding request status and workflow rules to see if cancellation is available.

Funding Notice Questions

Q: Why do I need to approve token transfer?

A: Borrower token approval makes the funding notice visible to lenders. Until you approve, lenders cannot see the funding notice. Approval authorizes the token transfer and enables lender review. Token approval is required for lender visibility.

Q: What are tokens?

A: Tokens represent drawdown amounts digitally. They enable tracking and distribution to lenders. Tokens are allocated to lenders based on their participation percentages in the facility. They facilitate the fund transfer process. Tokens provide digital representation of drawdown amounts.

Q: When are tokens generated?

A: Tokens are generated by facility agents after funding requests are approved. Facility agents generate tokens and configure distribution to lenders. After tokens are generated, you can approve the token transfer. Token generation occurs after funding request approval.

Q: Can I see which lenders have approved drawdowns?

A: Yes, you can see which lenders have approved or rejected drawdowns. Each lender's decision is tracked individually, showing approval or rejection status. This information is visible on the funding notice details page. Lender decision tracking provides transparency.

Q: How long does it take for funds to be transferred?

A: Fund transfer timing depends on lender processes. After lenders approve drawdowns, they transfer funds and confirm transfers. Transfer timing varies by lender. You'll receive funds as lenders confirm transfers. Transfer timing depends on lender processes.

Q: What happens if a lender rejects a drawdown?

A: If a lender rejects a drawdown, that lender's portion doesn't proceed. Other lenders can still approve their portions. The facility agent manages the drawdown process and coordinates with lenders. Lender rejection affects only that lender's portion.

Q: Can I see token distribution details?

A: Yes, you can see token distribution details on the funding notice details page. Distribution shows how tokens are allocated to lenders, including amounts and percentages. Token distribution information provides complete transparency.

Understanding funding and approval questions helps you navigate the credit facility workflow effectively, know what to expect at each stage, understand approval processes, and work efficiently within the funding system.